RSI Filter Strategy

RSI momentum filter + candlestick confirmation + EA rules

Educational notice: No strategy, EA, indicator, or candlestick pattern guarantees profit. Binary/short-expiry decisions are especially sensitive to timing, spread and execution. This material is a chart-reading and automation framework, not a guarantee of next-candle direction.

1. Strategy Identity

Use RSI(14) as a momentum filter, not as a standalone overbought/oversold trigger. Suggested execution M5/M15 with H1 structure or a 50 EMA trend filter.

Starting rules

- Long bias: RSI above 50 or recovering through 50 with bullish structure.
- Short bias: RSI below 50 or falling through 50 with bearish structure.
- Do not automatically sell every overbought reading or buy every oversold reading.

2. Long Setup

Trend/context bullish → pullback to support → RSI confirms momentum → bullish rejection or engulfing candle closes → entry → SL below invalidation → target next resistance or 1.5R–2R.

3. Short Setup

Trend/context bearish → pullback to resistance → RSI confirms momentum → bearish rejection or engulfing candle closes → entry → SL above invalidation → target next support or 1.5R–2R.

4. Candlestick Filter

Preferred confirmations

- Bullish/bearish engulfing at a meaningful level.
- Long lower/upper rejection wick with directional close.
- Avoid tiny indecision candles unless separately tested.

Binary-style timing

- CALL-style: bullish RSI context + bullish candle close.
- PUT-style: bearish RSI context + bearish candle close.
- This is timing guidance, not a guaranteed expiry outcome.

5. EA Bot

Signal engine

- Run once per completed candle.
- Read RSI and trend state.
- Require candle confirmation.
- Check spread, session and risk filters.
- Prevent duplicate entries.

Risk engine

- Position size from fixed risk and SL distance.
- Daily-loss lock.
- Max simultaneous trades.

- Consecutive-loss cooldown.
- Optional break-even only after testing.

6. Validation

Compare RSI-only versus RSI+EMA versus RSI+structure. Keep a filter only if it improves out-of-sample robustness, not merely historical win rate.

Risk framework

- Risk 0.25%–1% per trade while testing; use a hard daily loss limit.
- Never use martingale or increase size to recover a loss.
- Define SL from market invalidation, not emotion; calculate position size from SL distance.
- Track expectancy, drawdown, profit factor, average R and consecutive losses—not only win rate.
- Backtest, forward-test on demo, then use small live risk.